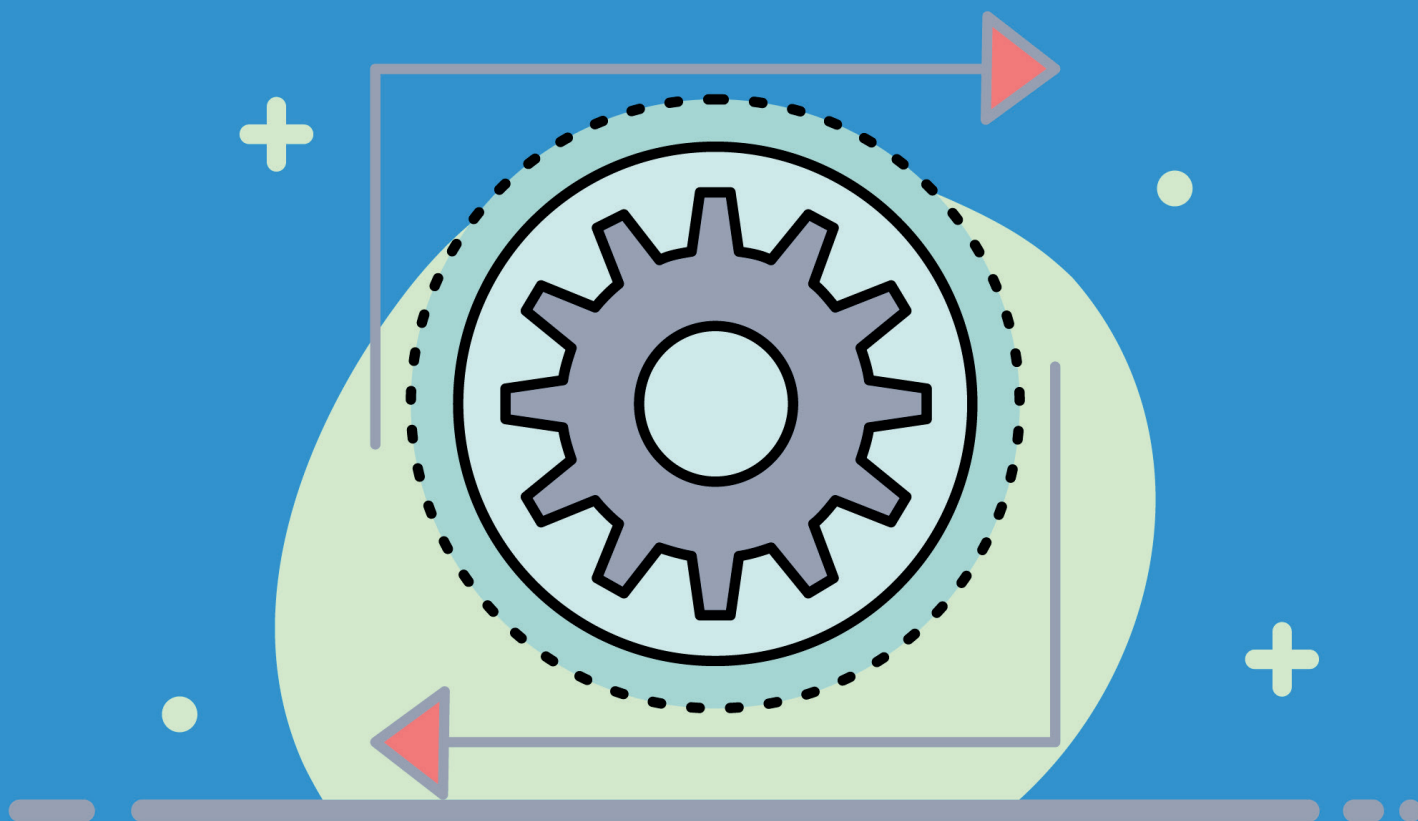


THE WHEEL STRATEGY IN ACTION

Everything You Need To Know



Options Trading IQ

The Wheel Strategy in Action

EVERYTHING YOU NEED TO KNOW



Gavin McMaster

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1

Introduction

As investors, we often find ourselves questioning why we engage in the market. What motivates our trading activities? Take a moment to reflect on why we risk our capital, invest our time, and participate in the market. While many may say it's to make more money or secure a financial future, the complete picture extends beyond these surface-level motivations. If the sole objective were profit, one might wonder: Why invest in the stock market? Why not take a chance at a casino, doubling money on a roulette table?

Well, if you think about it correctly, you will recognize the inherent risks of roulette. The possibility of losing all invested money looms large, with odds exceeding 50%, primarily due to the presence of two green spots on the wheel.



Figure 1 Roulette is a popular game in casinos around the world. While it is very popular due to its simplicity, it has one of the worst odds in the casino at only 47%-win rate due to the presence of green options. The game, in the long term, has a negative expected value.

Our motivation for investment extends beyond mere profit. We invest to maximize returns while minimizing risk—a concept often encapsulated by the term “volatility.” The Wheel Strategy is a method that precisely achieves this balance, [reducing risk while maximizing returns](#).

In this brief mini e-book, we will:

- Define the wheel strategy.
- The mechanics of the strategy: When to use it and how.
- And most importantly, I will teach you how to manage your risk.

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The Wheel Strategy

The Wheel Strategy involves selling puts to obtain exposure to a stock. Once assigned, the strategy evolves into selling covered calls. **Three key objectives** drive this approach:

- 1. Stock Allocation:** Implement the Wheel Strategy on a stock you intend to hold for the long term—a stock you are willing to own.
- 2. Steady Income:** When executed as a wheel, this strategy provides a consistent income stream for your portfolio.
- 3. Risk Minimization:** The Wheel Strategy is designed to minimize the risk and volatility associated with your portfolio.

The strategy earns its name from its circular nature. Like a wheel in motion that continues until you decide to halt it, the Wheel Strategy generates income continuously, allowing you to accumulate shares at your own pace.

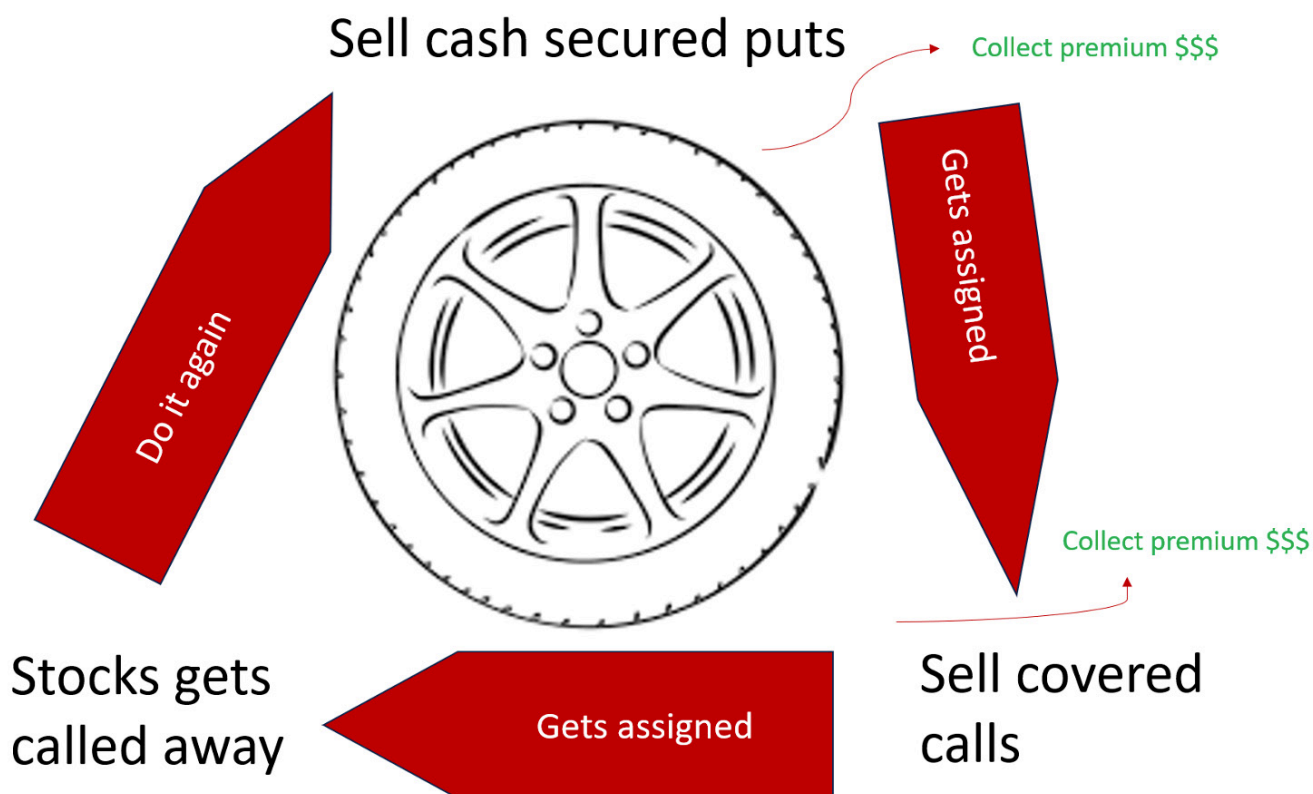


Figure 2 The wheel strategy gets its name due to its circular nature. The goal is to generate income, boost return, and minimize volatility.

Before we proceed, let's ensure you are familiar with some key fundamentals of the Wheel Strategy, such as selling puts and covered calls.

What are secured puts?

Cash-secured puts involve selling one put contract of any company at the price of X, obligating you to buy 100 shares of that company at the agreed-upon price of X at the time of contract expiry. In return for taking on this risk, you receive a premium. Let's illustrate this with an example:

Imagine you want to own 100 shares of Apple stock for \$150 while Apple is currently trading at \$180. You decide to sell a \$150 put strike with a nine-month expiry and receive \$250. You get assigned if Apple drops to \$150 or below at expiry. However, if Apple stays above \$150, you get to pocket the \$250 premium for yourself. Repeat this process until you get assigned. The chart below illustrates the payout profile of selling puts.

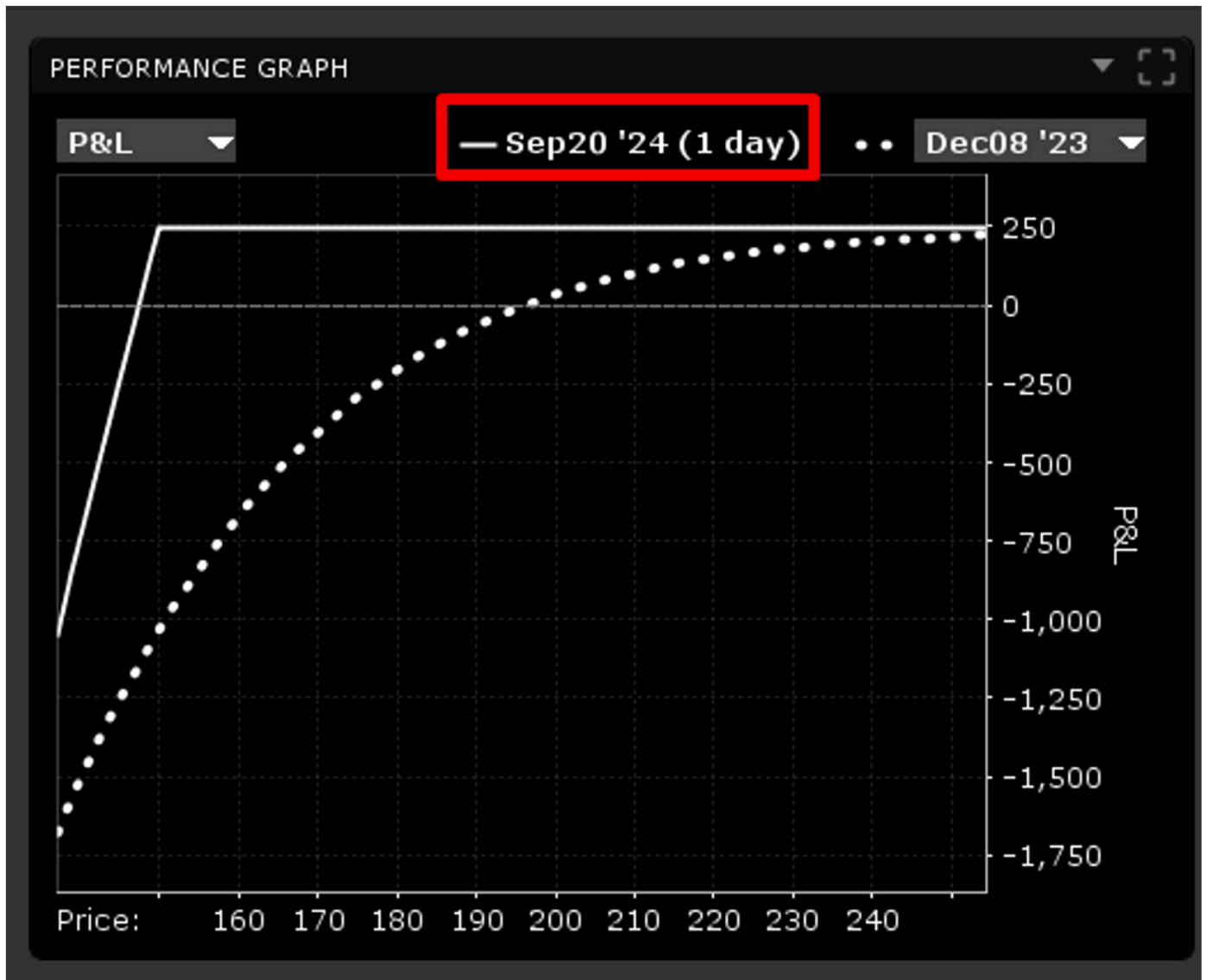


Figure 3 Cash secured puts payoff diagram.

Believe it or not, selling puts is one of the favorite strategies of the legendary investor **Warren Buffett**. Mr. Buffett loves selling puts on stocks he wants to own and on indexes, such as the S&P500. The image below showcases how Berkshire sells puts on the S&P500 for additional income and premium.

	2022	2021	2020
Investment gains (losses):			
Equity securities:			
Change in unrealized investment gains (losses) during the year on securities held at the end of the year	\$ (63,120)	\$ 76,375	\$ 54,951
Investment gains (losses) during the year on securities sold	(3,927)	997	(14,036)
	<u>(67,047)</u>	<u>77,372</u>	<u>40,915</u>
Fixed maturity securities:			
Gross realized gains	134	85	56
Gross realized losses	(684)	(29)	(27)
Other	(26)	148	(39)
Investment gains (losses)	<u>(67,623)</u>	<u>77,576</u>	<u>40,905</u>
Derivative contract gains (losses)	(276)	966	(159)
	<u>\$ (67,899)</u>	<u>\$ 78,542</u>	<u>\$ 40,746</u>

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Notes to Consolidated Financial Statements (Continued)

(6) Investment and derivative contract gains (losses) (Continued)

Equity securities gains and losses include unrealized gains and losses from changes in fair values during the year on equity securities we still own, as well as gains and losses on securities we sold during the year. As reflected in the Consolidated Statements of Cash Flows, we received proceeds of approximately \$33.7 billion in 2022, \$15.8 billion in 2021 and \$38.8 billion in 2020 from sales of equity securities. In the preceding table, investment gains and losses on equity securities sold during the year represent the difference between the sales proceeds and the fair value of the equity securities sold at the beginning of the applicable year or, if later, the purchase date. Our taxable gains and losses on equity securities sold are generally the difference between the proceeds from sales and original cost. Equity securities sold produced taxable gains of \$769 million in 2022, \$3.6 billion in 2021 and \$6.2 billion in 2020.

Our derivative contract gains and losses derived from equity index put option contracts. As of December 31, 2022, we had three open contracts, one of which has since expired. Our exposure to losses in the future is insignificant.

Figure 4 Berkshire Hathaway 2022 annual report shows Warren Buffett continues to sell puts on the S&P500 index.

What is a Covered Call?

Now that we've defined what cash-secured puts are let's move on to understand covered calls. In the covered call strategy, you sell calls on stocks you already own at a **predetermined price** and **expiry**, receiving a premium in exchange. When you sell a call, you commit to parting with your shares if the stock price surpasses the agreed-upon strike price. Let's illustrate this concept with another example.

Assume your cash-secured puts on Apple were assigned, and Apple is now trading at around \$200 per share, with you owning 100 shares. Seeking to generate additional income, you sell one Apple contract with a 9-month expiry of \$220, representing a 10% increase from the current market price. In this scenario, you receive \$750 for agreeing to potentially part ways with your shares at \$220.

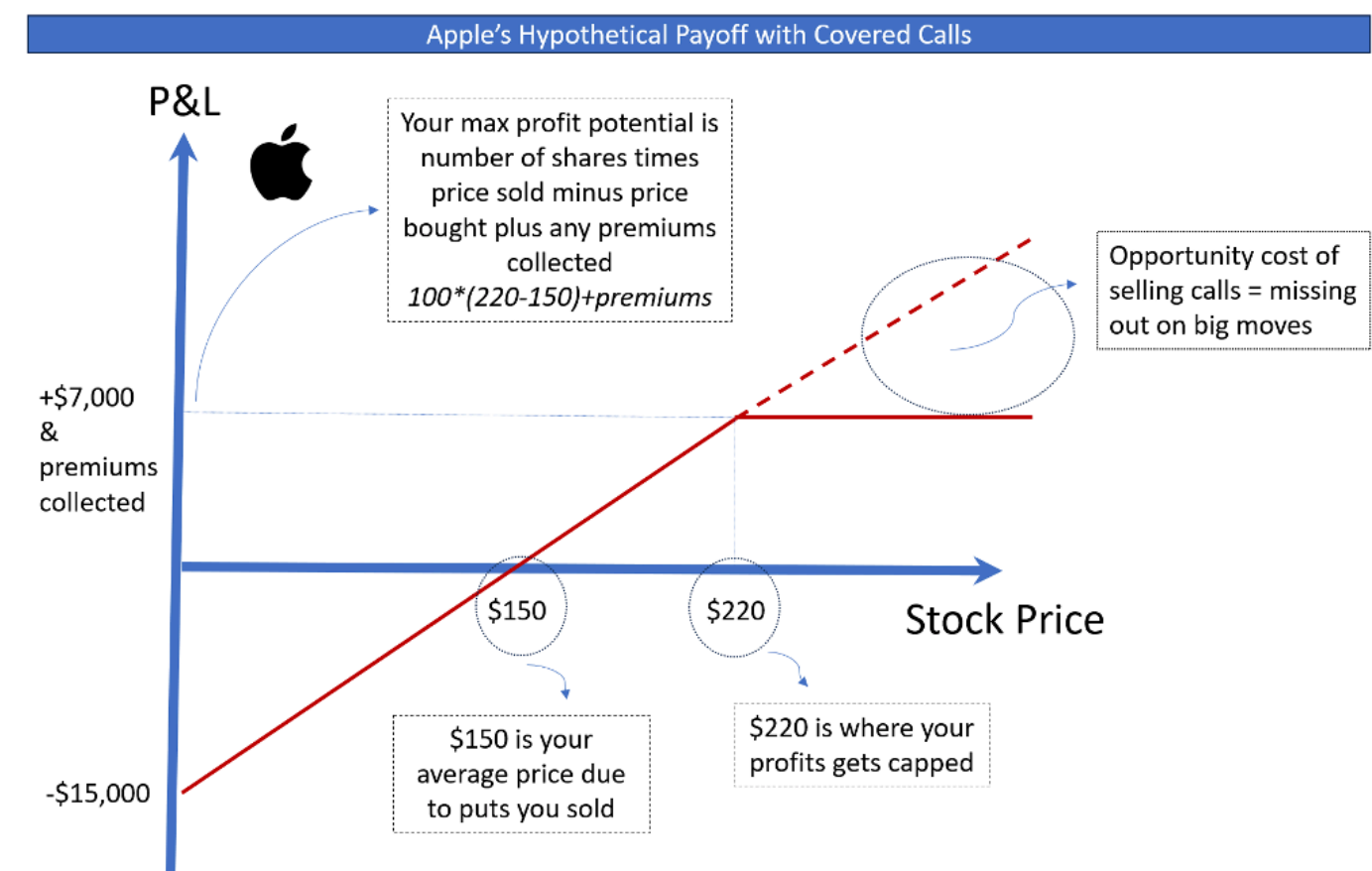


Figure 5 Covered call payoff diagram. You retain the premium if the stock closes below the strike price and lose your shares if the stock surpasses the strike price. In this case, the strike is \$220.

Putting It All Together: The Wheel Strategy

Now that we've covered selling cash-secured puts and covered calls let's integrate them into the Wheel Strategy and illustrate how you can consistently implement this approach to acquire more shares, generate income, and reduce portfolio volatility.

Selling Puts (Step 1):

Begin by selling puts, hoping for an assignment to acquire the stock or ETF at a specific price. Two likely outcomes: either you own the stock if it goes down, or you keep all the collected premiums if the stock continues to rise. Repeat this step until you get assigned.

Selling More Puts and Covered Calls (Step 2):

Move to Step 2 once assigned. Sell more puts if you want additional shares and sell covered calls. Collect premiums on both sides, creating a continuous income stream. If your shares get called due to a rising stock, return to step 1, but now you're richer with collected premiums. By the way, if you did not know, selling out of the money (OTM) calls and OTM puts is called short strangle.

Selling Covered Calls (Step 3):

If you don't want more shares, move to Step 3. Sell two covered calls. If the stock goes down, your calls expire worthless, and you keep the profit. If the stock goes up, you retain the premiums from the covered calls and profits from the stock, then return to step 1 to accumulate more.

Repeat this strategy iteratively to continuously generate income and reduce portfolio volatility. The diagram below shows these steps in action and can be a great guide for your trading journey.

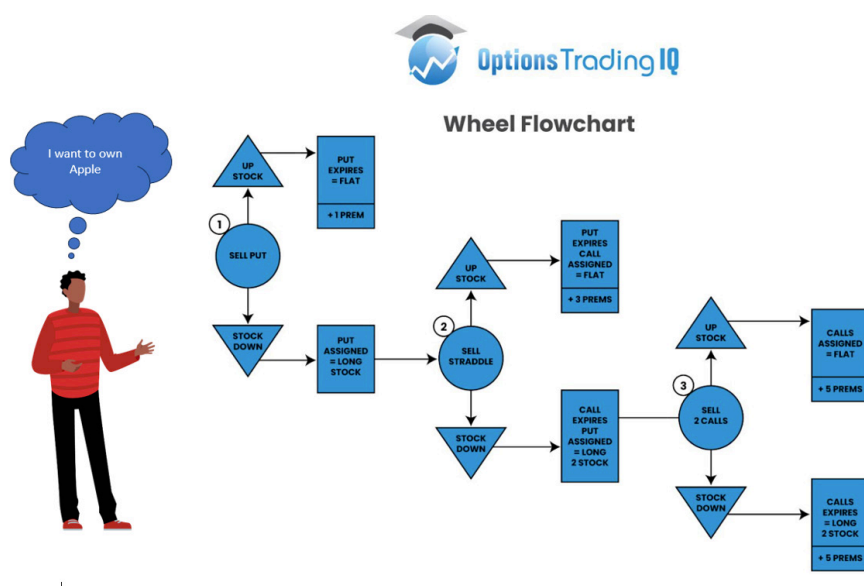


Figure 6 Flow chart for the wheel strategy

I previously showed you the payoff diagram for selling puts and selling calls. If you put these in action and put them together, your payoff diagram will look like the one below. Compared to owning the stocks, you are decreasing your risk and increasing your return for a small price of underperformance in really good years.

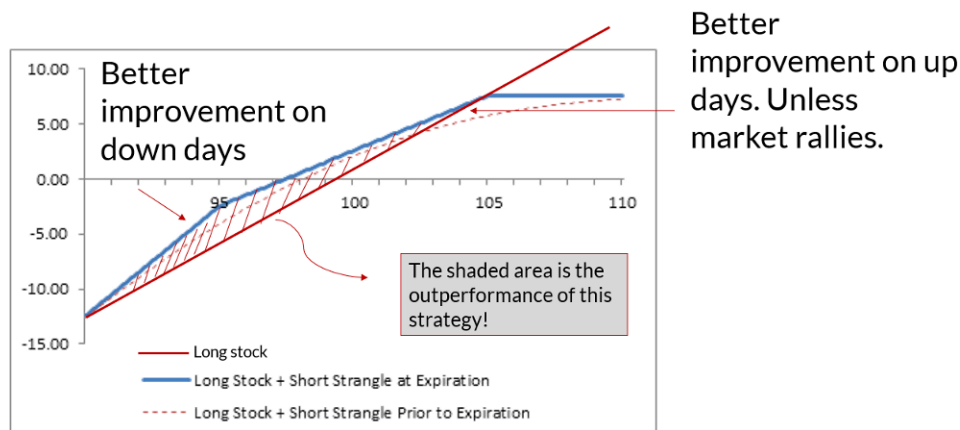


Figure 7 Payout diagram illustrating the outperformance of the Wheel strategy

In the long run, stocks do not move vertically up or down; sometimes, they go up, have pullbacks and corrections, and sometimes they rally quickly. As you become more and more experienced, it is your job to manage your risk and sell puts and sell calls in a way where you are not going over your desired stock allocation and maximizing your income by selling premiums. The chart below shows how, every few weeks, you will continue the wheel until you get to your desired stock allocation.



Figure 8 Timeline showcasing the rolling of the options and continuous selling of calls and puts. This timeline shows why this strategy is called the wheel!

The Wheel Strategy in Real Life

You might be wondering if there are historical studies demonstrating the outperformance of the Wheel strategy in the market. Indeed, such studies exist. A study looked at the performance of three indexes and compared them with the performance of the S&P 500, spanning from 1988 to 2011. The study looked at:

- **BXM** is a benchmark index designed to track the performance of a hypothetical buy-write strategy on the S&P 500 Index (covered call).
- **BXY** A variant of BXM. BXY tracks the value of a hypothetical portfolio that overlays a short 2% out-of-the-money call on an investment in S&P 500 stocks.
- **PUT** Tracks the value of a hypothetical portfolio of securities that yields a buffered exposure to S&P 500 stock returns. The PUT portfolio is composed of one- and three-month Treasury bills and of a short position in at-the-money put options on the S&P 500 index (short puts.)

The results showed that in all three cases, all three indexes could provide superior risk-adjusted returns. This means more return and less volatility. Notice how you can replicate the Wheel Strategy by adding PUT and BXY. While it is important to note that past performance does not indicate future results, this empirical study is a great validation for the Wheel strategy.

Figure 9 shows the result of this study in more detail.

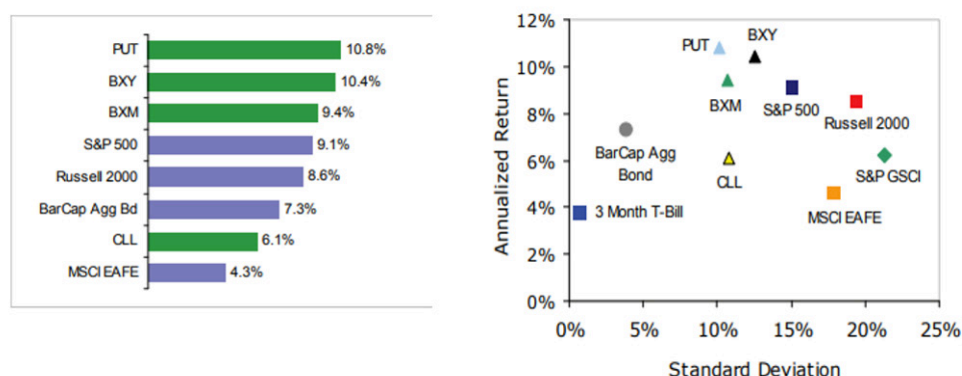


Figure 9 A Study from 1988 to 2011, shows that wheel strategies can increase your return while reducing your portfolio risk.

While a few percentage points might not seem so significant, you have to understand that trading is the game of the long term. A 3% outperformance will show a staggering life-changing difference in just a few years. To showcase this to you, I ran a simulation where I put the return of the Wheel Strategy in comparison to SPY, the ETF that tracks the S&P500, and the difference was an eye-opening \$3,000,000 after 35 years of investing. Of course, I picked some large numbers just to show you that this strategy works, and with discipline, you can compound your account in the long term.

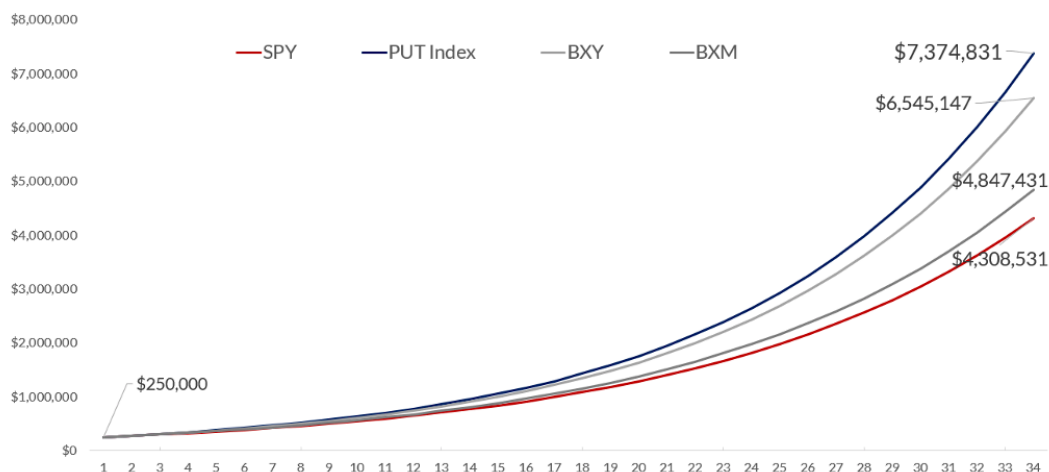


Figure 10 Hypothetical difference of investing in the Wheel, V.S. investing in the passive ETF SPY, which tracks the broad market.

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The Mechanics of the Strategy

Having delved into how the wheel strategy operates, let's now discuss when to deploy this strategy and outline some key do's and don'ts.

Rule 1:

Only employ this strategy on stocks and ETFs you are comfortable owning.

While collecting premiums on every stock may be tempting, limiting this approach to names and stocks you are willing to hold for the long term is crucial. Personally, I only apply this strategy to indexes and blue-chip stocks that align with my long-term investment goals. I made a table of some of my favourite stocks on which I like to do this strategy. These are all blue chip names I do not mind owning for a long time, and all have high enough volatility to make the option selling worth it.

Stock name	Ticker	Historical Volatility
Apple	AAPL	23%
Amazon	AMZN	31%
Google	GOOG	24%
Microsoft	MSFT	21%
Netflix	NFLX	31%
NVDA	NVDA	45%
Costco	COST	16%
Walmart	WMT	23%
Waste Management	W.M.	12%

Rule 2:

Ensure the option market is liquid.

Liquidity is a pivotal factor in this strategy. Does the ETF or stock you want to sell options on have an option chain, and is it liquid? These are essential questions to consider. I often utilize the Barchart screener, searching for stocks with a market cap of over \$50 billion and an option volume of over 2,000.

Rule 3:

Pay attention to implied volatility.

Implied volatility indicates how volatile the stock is perceived in the options market. Higher implied volatility results in more expensive options. Gain confidence in the strategy and consider selling options on days when implied volatility is higher to maximize the premium collected.

Rule 4:

Avoid selling puts on earnings days.

Although it might be enticing to sell options before earnings due to high implied volatility and substantial premiums, it's best to refrain from doing so. Earnings reports can bring unforeseen news that might alter your opinion about the stock. Avoid selling puts right before earnings to mitigate such risks. Once you become more experienced, you can take advantage of high implied volatility around earnings, but for beginners, it is best to avoid earnings.

Rule 5:

Don't forget Rules 1-4.

Trading is challenging not because it's inherently difficult but because maintaining discipline and adhering to rules can be tough. The ultimate rule is to stick to the plan and follow the established pattern, and success should follow.

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Risk Management

Last but not least, risk management is the most important aspect of any strategy. Below are some of the key things to consider regarding this strategy.

Gap Risk

Gap risk occurs when news or a catalyst causes a stock to gap down or up. It is often the primary risk associated with this strategy. If the news is positive and the stock gaps up, you miss out on potential gains due to the covered calls you sold. If the stock gaps down, you get assigned at a much higher price than the stock currently trades, resulting in significant unrealized losses. This is the reason why I recommend implementing the wheel strategy on blue-chip names with a market cap above \$50 billion. The higher the market cap, the less likely the stock will experience significant gaps.

Bull Market Underperformance

During times when the market is surging, the wheel strategy may underperform the index. Covered calls you sell can cap your upside, and if the stock continues to rise, you might miss out on substantial gains. One way to mitigate this is by not being fully covered. For instance, if you own 300 shares, consider selling only two covered calls instead of 3 to allow for more upside potential.

Tax Implications

While less talked about, it's essential to note that the premiums collected on put options and covered calls are taxable. In order to optimize results, it's advisable to execute this strategy within a tax-efficient account. Discussing your account with your accountant can help you navigate tax implications effectively.

Account Size

An important factor in selling options is having the financial capacity to fulfill the obligation. When selling put options, you are obligated to buy 100 shares of the stock at the agreed-upon price. This requires having the necessary funds and an appropriate account size. While feasible for cheaper stocks, a stock like Netflix, trading near \$400, demands a \$40,000 account. Smaller accounts may find this strategy more limited.

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Conclusion

In conclusion, the wheel strategy stands out as one of the best approaches, aiming to achieve what every investor desires: higher returns and lower volatility. In this e-book, we've laid the groundwork for understanding the wheel strategy—its effectiveness, operational aspects, key rules, and associated risks.

I sincerely hope you found value in this e-book, and for more information about options trading, please visit my website at <https://optionstradingiq.com/> or feel free to reach out via email at info@optionstradingiq.com.



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